

additional paid-in capital. Equity is a key indicator of a company's net worth and the portion of assets attributable to its shareholders.

2.2 Income Statement

The income statement, also known as the profit and loss statement, provides a summary of a company's revenues, expenses, and profits over a specific period.

2.2.1 Revenue

Revenue is the total amount of money generated by a company through its primary business activities. It is a critical metric for assessing a company's ability to sell its products or services.

2.2.2 Expenses

Expenses encompass the costs associated with a company's operations. These include cost of goods sold (COGS), operating expenses, and taxes. Analysing expenses helps evaluate the efficiency and profitability of a company.

2.2.3 Net Income

Net income, or profit, is the amount remaining after deducting all expenses from revenue. It reflects the company's overall profitability and is a key metric for investors seeking to understand the financial performance of an organization.

2.3 Cash Flow Statement

The cash flow statement outlines the sources and uses of cash over a specific period, providing insights into a company's liquidity and cash management.

2.3.1 Operating Activities

Operating activities involve the cash generated or used in the day-to-day operations of a business. Positive cash flow from operations is indicative of a company's ability to generate cash from its core activities.

2.3.2 Investing Activities